DIVISION OF EUROPEAN AFFAIRS MAR 16 1942 DEPARTMENT OF STATE

DEPARTMENT OF STATE MAR 13 1942 DIVISION OF NEAR EASTERN AFFAIRS

TELEGRAM RECEIVED

Chungking via N. R.

This telegram must be closely paraphrased before being communicated to anyone. (SC)

FROM Dated March 7, 1942

Rec'd 9:15 a.m.

March 30, 1942

ADVISER ON POLITICAL RELATIONS MAR 11 1942 DEPARTMENT OF STATE

Division of FAR EASTERN AFFAIRS MAR 9 1942 Department of State

Secretary of State,

Washington.

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195, March 7, 9 a.m. (SECTION ONE)

Following comment is submitted in continuation of my no. 194 of March 6, 3 p.m.

DIVISION OF CULTURAL RELATIONS MAR 1942 DEPARTMENT OF STATE

The situation in China is not bright but it is not necessarily discouraging if judged with sympathetic understanding of the Chinese and bearing in mind the limitations on what we may reasonably expect from this country.

DIVISION OF CURRENT INFORMATION MAR 25 1942 Department of State

Continued United Nation reverses in the Pacific undoubtedly give support to those who would seek an understanding with the Japanese. Should Burma fall to Japan and China become isolated a passive attitude of wait and see might conceivably develop in that country especially if the Japanese did not resume military pressure against China. An undeclared peace involving virtual cessation of hostilities and a gradual breakdown of trade and other barriers between occupied and unoccupied China is a possibility which should not be ignored.

China

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China is to us a minor asset at this time. Our task is to prevent her becoming a liability and to raise the value of the asset so far as possible, to encourage resistance and to increase its effectiveness. We should seek to maintain Chinese confidence in our ultimate victory and cultivate Chinese consciousness of their position as co-equal partners in the war and a realization that their national interest lies in our common victory.

The recent American loan if properly utilized can strengthen China's economic and financial structure and the more widely dispersed the benefits from the loan the more substantial will be the desired effect.

Military assistance particularly in aviation would have a psychological effect perhaps greater than the military benefit. The presence of an American military mission in China is not enough. American air forces even though limited would give China positive evidence that we are fighting together for the Chinese as well as ourselves. The successes of the American volunteer group in Yunnan and Burma have had a splendid effect on Chinese morale and if later this group moves

to Chungking

to Chungking it will have a substantial effect on the morale here which many observers insist is lower than elsewhere in Free China. The strength of the American volunteer group in personnel and equipment should be maintained and gradually increased whether or not the unit is incorporated into the United States Army.

Efforts should be continued to send supplies to the Chinese armies; but we should not expect those armies to carry out major offensives under present circumstances. It has been unfortunate that the press and other publicity organs recently have been overplaying Chinese military activity and prowess.

GAUSS

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TELEGRAM RECEIVED

HRL
This telegram must be closely paraphrased before being communicated to anyone. (SC)

FROM

Chungking via N.R.
Dated March 7, 1942
Rec'd 12:20 p.m.

Secretary of State,

Washington.

195, March 7, 9 a.m. (SECTION TWO)

The Chinese Armies have a very definite utility which should be encouraged by practical operations within the limit of their capabilities and full credit should be given when it is due; but exaggeration of China's military strength encourages complacency and invites ill-founded and detrimental comparison with other military forces.

The program of the Cultural Relations Division of the Department can contribute toward encouraging a friendly relationship in special groups, particularly the educational group.

The Information Service of the Coordinator of Information can also be most helpful. I suggest that its primary objective should be the prompt dissemination of straightforward factual news devoid of obvious propaganda. This applies to radio broadcasts and news services and also to the selection of printed material for dissemination in China. Since the Chinese withdrawal

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drawal to Western China there has been a dearth of those American periodicals and publications through which intelligent Chinese kept abreast of American opinion and activity, and this situation is now aggravated by the non-receipt of any American mails of any class. I urge that there be no transport priority for propaganda material for China over regular mails and periodicals and that the transmission of periodicals be emphasized as a major effort of the Information Service to give the Chinese not propaganda material but the publications upon which they have for some years relied for their contact with American life and opinion. Even limited numbers of copies of such periodicals as TIME, NEWSWEEK, READER'S DIGEST, LIFE, THE NEW REPUBLIC FOREIGN AFFAIRS and The Weekly News summary sections found in metropolitan papers such as the NEW YORK TIMES and the CHICAGO DAILY NEWS et cetera would be most useful for distribution to those groups which form or influence in a large degree such public opinion as exists in this country.

Basically, I believe that most intelligent Chinese have confidence in an American victory and in China's interest to aid it. Dissident and doubting elements

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can best be neutralized, and those sincerely desirous of full cooperation in the war can be encouraged, by making it constantly clear that frustration of Japanese ambitions is a common objective with positive ends worth fighting for - a free and cooperative Far East which will gain and give benefit in a social organization which respects national integrities but expects and stipulates collaboration in the interest of all peoples.

(END OF MESSAGE)

GAUSS

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